

Table 1. Suggested Policies and Practices for Developing, Growing, and Broadening Access to Capital

Solutions	Federal	State/Local	Private Sector
Expand access to funding that could enhance the stability of small and micro businesses in underserved areas and improve the opportunity for those businesses to reach scale and strengthen their financial resilience.	X	X	X
Increase investment in small and micro businesses in underserved areas (e.g., by making loans based on other factors than appraised value of a property in a formerly redlined area, or by supporting equity-oriented CDFIs with startup funds that provide below-market loans and free or reduced-fee technical assistance to entrepreneurs of color.	X	X	X
Encourage traditional lenders to adopt and implement internal diversity and inclusion policies.	X	X	X
Encourage federal and state agencies to mitigate risks by backing loans made by CDFIs and micro lenders with tax credits.	X	X	X
Advocate for more funding from federal and state government programs for loans and grants to small businesses owned by BIPOC and women and encourage public-private investment partnerships. This could be through the Community Reinvestment Act (CRA). ⁵⁵	X	X	X
State and federal government agencies should award grants to organizations to provide business counseling and entrepreneurial development training to formerly incarcerated citizens returning to work.	X	X	